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Here's your detailed forensic comparison of Australian vs UK income tax rates—especially relevant for a UK national on a Working Holiday Visa (WHV) in Australia—based entirely on publicly available sources, with links (via citations) to relevant legislation or official guidance.

1. Australian Tax Rates (2025–26 Financial Year)

For Australian Tax Residents

- Taxable income brackets (Australian residents):
 - \$0 – \$18,200: nil
 - \$18,201 – \$45,000: 16 c per \$1 over \$18,200
 - \$45,001 – \$135,000: \$4,288 + 30 c per \$1 over \$45,000

- \$135,001 – \$190,000: \$31,288 + 37 c per \$1 over \$135,000
- \$190,001+: \$51,638 + 45 c per \$1 over \$190,000
These rates exclude the Medicare levy of 2%.
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- Medicare levy: an additional 2% on taxable income (applies to most residents).

For Working Holiday Makers (WHMs) — Subclass 417/462

- Working Holiday Maker tax rates:
 - \$0 – \$45,000: 15%
 - \$45,001 – \$135,000: \$6,750 + 30 c per \$1 over \$45,000
 - \$135,001 – \$190,000: \$33,750 + 37 c per \$1 over \$135,000
 - \$190,001+: \$54,100 + 45 c per \$1 over \$190,000
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- WHM rates override standard resident or non-resident rates, regardless of residency status.

2. UK Tax Rates (Tax Year 2025–26: 6 April 2025 – 5 April 2026)

- Personal allowance: £12,570 – tax-free. Phased out when income exceeds £100,000 (disappears by £125,140).
- Tax bands in England, Wales, Northern Ireland:
 - £0–£12,570: 0% (personal allowance)
 - £12,571–£50,270: 20%
 - £50,271–£125,140: 40%
 - £125,141+: 45%
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- Scotland (has different bands):
 - Starter: 19% up to ~£15,397
 - Basic: ~20% up to ~£31,092
 - Intermediate: ~21% up to ~£62,430
 - Higher: ~42% up to ~£125,140
 - Top: ~48% above that

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- Other UK taxes:
 - National Insurance (NI): separate payroll tax.
 - Dividends, capital gains, etc. have their own rates.
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3. UK Nationals on an Australian Working Holiday: Tax Intersection

Residency and Double Taxation

- Most WHVs (Subclass 417/462) are considered foreign residents for Australian tax purposes, as they intend only a temporary stay.
- Australia–UK Double Tax Agreement (DTA) includes a Non-Discrimination Article: a UK national working in Australia and meeting residency criteria should not face higher tax rates than Australian nationals earning the same income.

- Practically, WHMs pay via the Working Holiday Maker rates, not necessarily standard rates, per ATO guidance. These override usual rates regardless of residency.

Double Tax Relief

- If you are deemed an Australian tax resident, you're taxed on worldwide income, but can claim a foreign income tax offset for UK tax paid on foreign income.
- If you're non-resident in Australia, you report only Australian-source income and don't get the tax-free threshold.

4. Comparative Summary

Category	Australian Residents	WHM (417/462)	UK Residents (2025–26)
Lowest rate	0% on first \$18,200 (+ Medicare levy of 2%)	15% from \$0 to \$45,000	0% on first £12,570 (personal allowance)
Middle rate(s)	16% → 30% → 37% → 45%	15% → 30% → 37% → 45%	20% → 40% → 45% (Scotland: up to 48%)
Medicare levy	+2% (on taxable income)	Not applicable	Not applicable

Double taxation protection	Via UK–Australia DTA, foreign tax offsets	Same via DTA	Via UK’s DTA and relief rules
Residency importance	Determines tax base inclusion and thresholds	WHM rates override standard	Residency determines tax treatment; UK always applies

Practical Implications for a UK Traveler on WHV in Australia

1. As a UK citizen on a 417/462 WHV, you’ll be taxed using Working Holiday Maker (WHM) rates, regardless of residency status.
2. WHM rates start at 15% on all income up to A\$45,000—much steeper than the 0–16% bracket under resident rates. There’s no tax-free threshold for WHMs.
3. If UK income tax is also applied back in the UK, you may be eligible for a foreign income tax offset if deemed an Australian tax resident.
4. Australia and the UK share a DTA, including non-discrimination provisions ensuring fair tax treatment.
5. UK income tax rates (for work income earned in the UK) follow UK bands—starting with a personal allowance of £12,570, then 20%, 40%, and up to 45% (up to 48% in Scotland).

Citations and Legislation Links

- ATO Official Tax Rates:
 - Working Holiday Maker rates: ATO “Tax rates – working holiday makers”
 - Resident rates and Medicare levy: ATO “Tax rates – Australian resident”
 - Residency guidance for WHMs: ATO “Australian residency if you’re on a working holiday or visit”
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- Double Tax and Non-Discrimination:
 - Australia–UK DTA provisions: explainer (Cordato Partners)
 - UK WHM not subject to WHM rate when tax resident: legal commentary
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- UK Tax Rates:
 - GOV.UK “Income Tax rates and allowances”
 - MoneyWeek explanation and various guides for 2025/26:
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If you'd like, I can dive deeper into specific treatment of superannuation, HECS/HELP repayments, capital gains, or how to claim offsets on tax returns—just let me know!

Here's a clear, legislation-linked rundown of how Australia's personal tax works (with the 1 July 2024 “Stage 3” changes already baked in), how the UK compares, and what's different if you're a UK citizen in Australia on a Working Holiday (subclass 417/462).

1) Headline income-tax rates (2025–26)

Australia (residents) — marginal rates for 1 July 2025–30 June 2026:

0–\$18,200: 0% · \$18,201–\$45,000: 16% · \$45,001–\$135,000: 30% · \$135,001–\$190,000: 37% · \$190,001+: 45%. These are set in the Income Tax Rates Act 1986 (Schedule 7) and reflected in ATO tables. Note: the Medicare Levy of 2% may apply in addition (see §4).

Australia (Working Holiday Makers, “WHM”—subclass 417/462) — a special scale applies to income earned while you hold a WHM visa:

\$0–\$45,000: 15%, \$45,001–\$135,000: 30%, \$135,001–\$190,000: 37%, \$190,001+: 45%. (Applies irrespective of residency for the WHM-visa income itself; see §3 for the exception if you’re an Australian tax resident from an NDA country like the UK.)

UK (England, Wales, Northern Ireland) 2025/26 —
Personal Allowance £12,570; then 20% up to £50,270; 40% to £125,140; 45% above £125,140. (Personal Allowance tapers £1 for every £2 of income over £100k.)

Scotland 2025/26 — different bands: Starter 19% (£12,571–£15,397), Basic 20% (£15,398–£27,491), Intermediate 21% (£27,492–£43,662), Higher 42% (£43,663–£75,000), Advanced 45% (£75,001–£125,140), Top 48% (over £125,140).

2) Key structural differences (AU vs UK)

- Tax year timing — AU: 1 July–30 June. UK: 6 April–5 April. This matters for residency splits and relief claims.
- Tax-free threshold / allowance — AU has a resident tax-free threshold (\$18,200). WHMs do not get it on WHM income; UK has a Personal Allowance (usually £12,570, tapered from £100,000).
- Social charges — AU generally uses a Medicare Levy (2%) rather than a UK-style National Insurance (NI). UK residents usually pay NI on UK employment; if you work for an Australian employer in Australia, UK NI typically doesn't apply (though you can consider voluntary NI to protect your State Pension record).

3) Special rules for UK Working Holiday Makers in Australia

A. Standard “backpacker tax” scale (WHM rates)

From your first dollar of WHM employment income, your employer withholds using Schedule 15 for WHMs (15% up to \$45k, etc.—see §1). Employers must be registered to withhold at WHM rates; otherwise, foreign-resident rates apply.

B. The Addy / Non-Discrimination (NDA) carve-out

If you become an Australian tax resident while on a WHM and you're a national of a country with a treaty non-discrimination article (the UK has one), you are taxed as an Australian resident, not on WHM rates, for the relevant income. This follows the High Court's *Addy v Commissioner of Taxation* reasoning and the ATO's post-*Addy* guidance for NDA countries (which include the UK). Practically: you can access the resident scale (and tax-free threshold), and the WHM scale doesn't apply while you are a resident.

C. Tax residency tests

Whether you are an Australian resident for tax is decided under the four tests (resides, domicile, 183-day, superannuation), as explained in ATO TR 2023/1 and the updated ATO residency pages (see ATO's WHM-specific residency guidance). Many WHMs remain foreign residents; some become residents, depending on facts (pattern of living/working, intention, usual place of abode, etc.).

D. Medicare Levy for WHMs

- Foreign residents: generally exempt from the Medicare Levy for the period you're a foreign resident.

- Australian residents: 2% levy usually applies unless you qualify for a reduction or exemption. Holding a UK Reciprocal Health Care Agreement Medicare card typically means you are entitled to Medicare benefits; that entitlement removes the “not entitled to Medicare benefits” exemption pathway. (Foreign-resident exemption is still available while you’re a foreign resident.)

E. Superannuation while you work

Your Australian employer must pay Superannuation Guarantee (SG) on your ordinary time earnings (the SG rate is 12% from 1 July 2025). When you permanently depart Australia and your visa ceases, you can usually claim your super back as a Departing Australia Superannuation Payment (DASP)—but the WHM DASP tax on the taxable component is 65% (0% on any tax-free component).

4) Double-tax relief & “who gets to tax what” for a UK traveller

- Employment exercised in Australia: the Australia–UK tax treaty says salary is taxable where the employment is exercised (Australia) unless the short-stay exception

applies (≤ 183 days and other conditions). UK may also tax if you remain UK-resident, but should give credit for Australian tax. See Article 14 (Income from employment) and Article 22 (Elimination of double taxation); Article 25 (Non-discrimination) underpins Addy-type outcomes.

- UK residence: UK uses the Statutory Residence Test (SRT)—RDR3 and HMRC’s Residence & FIG manual give the rules (automatic overseas/UK tests, ties test, split-year treatment). If you’re UK-resident for part/all of the UK year, you may need to file and claim Foreign Tax Credit Relief for AU tax.

5) “What do I pay?” — quick decision flow for a UK WHM

1. Are you an Australian tax resident at any time?

- No → You’re a foreign resident. WHM income is taxed at WHM rates (15%→) and no Medicare Levy during foreign-resident periods. You’ll lodge an AU return for the year(s) you earned income.
- Yes → If you’re resident and a UK national (NDA country), your WHM income is taxed on resident

rates (not WHM scale) for the resident period; Medicare Levy may apply. (Residency is fact-specific: see TR 2023/1 and ATO WHM residency guidance.)

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3. Back in the UK or still UK-resident for part of the UK tax year?

- If UK-resident, you include the Australian employment income in your UK return and claim credit for Australian tax under Article 22; if non-resident, UK generally taxes only UK-source income (subject to specific rules).

4.

5. Super

- Expect SG at the statutory rate while you work. If you leave and claim DASP, note the 65% tax on the taxable component for WHMs.

6.

7. National Insurance (UK)

- While working for an Australian employer in Australia, UK NI ordinarily doesn't apply. You can consider voluntary NI (Class 2/3) to keep your UK State Pension record healthy.

8.

6) Practical to-dos (with sources)

- Give your employer the right status (WHM and TFN) so they withhold at the correct schedule; employers use Schedule 15 for WHMs.
- Work out residency with ATO guidance/tools (TR 2023/1; 183-day test page; WHM residency page). Keep evidence of where you live, travel dates, leases, etc.
- Check Medicare Levy position each year when lodging (resident vs foreign-resident, entitlement to Medicare, possible reduction).
- Treaty relief: If you're still UK-resident for part of a UK year, review the AUS-UK treaty (Articles 14, 22, 25) and HMRC RDR3/HS304 guidance for claiming relief.
- Plan super: understand SG and DASP tax before you leave.

Sources & legislation (selected)

- Australia:
 - Income Tax Rates Act 1986 (Schedules for resident, non-resident & WHM rates).
 - ATO Resident tax rates (showing the 2024+ stage-3 scale).
 - ATO WHM tax rates & withholding table (Schedule 15).
 - Medicare Levy Act 1986; ATO Medicare levy & exemptions.
 - ATO Residency (TR 2023/1; 183-day page; WHM residency).
 - ATO NDA (non-discrimination) guidance for resident WHMs (post-Addy).
 - ATO Super Guarantee rate path & DASP.
- United Kingdom:
 - GOV.UK Income Tax rates & Personal Allowances (current year).
 - Scottish 2025/26 rates (mygov.scot).
 - HMRC RDR3 & Residence/FIG manual (SRT); HS304 double-tax relief.
 - Australia–UK Double Taxation Convention (Articles 14, 22, 25).
 - GOV.UK National Insurance if you work abroad; voluntary NI (Class 2/3).

Bottom line for a UK traveller on a Working Holiday

- Expect WHM rates by default on WHM-visa income (15% →). If you become an Australian resident and you're a UK national, ATO's NDA guidance says you're taxed on resident rates instead (not WHM).
- Medicare Levy: pay it only if you're an Australian resident (and not otherwise exempt/reduced). Foreign-resident periods are generally exempt. A UK RHCA Medicare card typically doesn't support the "no-entitlement" exemption.
- Treaty: Australia taxes work performed in Australia; the UK gives credit if you're UK-resident for part of the year.
- Super: SG paid while you work; DASP on departure is 65% on the taxable component for WHMs—plan accordingly.

If you want, tell me roughly (a) when you arrived/leave, (b) your visa periods, and (c) your earnings, and I'll run a quick, example calculation under both WHM and resident scenarios so you can see the difference.

got it — here's a practical, source-linked guide tailored to your situation (UK citizen, arrived in Australia March 2025, planning to stay ~2 years to about Feb 2027, on a working holiday initially and curious about skilled-visa pathways).

1) Big picture: how Australia taxes you vs the UK

Tax years

- Australia: 1 July–30 June. You'll span 2024–25 (Mar–Jun 2025 part-year), 2025–26 (full year), and 2026–27 (Jul 2026–~Feb 2027 part-year).
- UK: 6 April–5 April. SRT (Statutory Residence Test) decides if you're UK-resident each year; split-year treatment can apply when leaving/arriving mid-year.

Core rate structures (2025–26)

- Australia (resident rates): 0% to \$18,200, then 16% (\$18,201–\$45k), 30% (\$45k–\$135k), 37% (\$135k–\$190k), 45% (>\$190k). Medicare levy 2% usually applies.

- Australia (foreign-resident rates): 30% from the first dollar up to \$135k, 37% to \$190k, then 45% (no Medicare levy).
- Australia (Working Holiday Maker “WHM” rates) while you hold a 417/462 visa: 15% up to \$45k of WHM income, then stepped to 30%/37%/45%. (Employers must withhold WHM rates.)
- UK (basic comparison): Income tax bands and Personal Allowance are set annually (England/N. Ireland). Check HMRC’s “Rates and thresholds 2025–26” and “Income Tax rates” pages before filing.

Treaty interaction (UK–Australia)

There’s a modern double-tax treaty (2003, amended 2010) covering employment income, pensions, elimination of double taxation, and non-discrimination (crucial for WHMs). It prevents worse treatment purely due to nationality.

2) Residency & exact treatment for your timeline

Australia uses four tests (resides, domicile, 183-day, superannuation). For long stays working and living here, you usually become Australian resident for tax purposes once your pattern of life settles in AU. The ATO's current public ruling TR 2023/1 explains how they decide.

Year by year (based on your dates)

FY 2024–25 (Mar–Jun 2025, arrival part-year)

- If you hadn't yet "settled" (e.g., short-term travel, no ongoing home/job), you may still be foreign resident for this part-year → foreign-resident rates or WHM rates (15% up to \$45k) apply to WHM wages. No Medicare levy if foreign resident.
- If you quickly formed a settled pattern (job/lease/intention to stay ~2 years), you could become resident from some point in 2025 and be a part-year resident. The resident rate table applies (with part-year tax-free threshold), plus Medicare levy. Keep evidence either way (lease, job offer, bank, etc.).

FY 2025–26 (full year in AU)

- You'll likely be resident for tax purposes. Because you're UK (a treaty non-discrimination article (NDA) country) and on a WHM visa, the ATO says if you're an Australian resident you'll ultimately be assessed on the lower of resident rates (with tax-free threshold) or WHM rates. Employers still withhold at 15% (WHM), but on assessment you get the lower outcome. You may also owe the 2% Medicare levy as a resident (see §4).

FY 2026–27 (Jul 2026—~Feb 2027, departure part-year)

- You're likely resident until departure, then cease residence when you leave and stop having ongoing ties. Lodge as part-year resident. Track travel days and note the date you cease residence.

Important WHM nuance for UK nationals

The High Court's Addy decision confirmed non-discrimination for residents; the ATO has a specific page and process. You can lodge as resident (or amend) and the ATO

will assess using the lower of resident vs WHM outcomes. You can also request a PAYG withholding variation in limited cases (generally after a prior assessment as a resident or with a private ruling).

3) What actually happens to your pay

- On a WHM visa, your employers must register and withhold using WHM tax table (15% to \$45k of WHM income). If an employer doesn't treat you as a WHM correctly, withholding can be wrong.
- If you're a resident & UK national, at year-end the ATO compares outcomes and applies the lower (often resident rates with the tax-free threshold). You may get a refund because 15% WHM withholding is often higher than the resident calculation at low-mid incomes.

4) Medicare levy, Medicare levy surcharge (MLS) & UK reciprocal health care

- Medicare levy (2%) generally applies if you're resident (foreign residents don't pay it).
- Medicare levy surcharge (MLS, 1–1.5%) can apply in addition if you're resident, don't have private hospital cover, and your income $\geq$ \$97,000 (single) or \$194,000 (family) in 2024–25 (indexation applies in later years).
- UK–Australia Reciprocal Health Care Agreement (RHCA): as a UK visitor, you can enrol in Medicare for medically necessary treatment while in Australia. This entitlement means you're not eligible for the “not entitled to Medicare” levy exemption during resident periods.

5) Superannuation (pension) & leaving Australia

- Employers must pay Superannuation Guarantee (SG) on your ordinary time earnings: 11.5% in 2024–25, 12% from 1 July 2025.
- When you leave Australia and your visa ceases, you can claim your super as a Departing Australia Superannuation Payment (DASP).
 - WHM DASP is taxed at a flat 65% — very high. Consider consolidating super and the timing of any DASP claim. If you become a permanent resident before leaving, you won't be eligible for DASP.
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6) UK side: residence, split-year & double tax relief

- UK SRT decides whether you're UK-resident. Long-term full-time work abroad or limited UK days usually results in non-residence, often with split-year treatment in the year of departure/return. Keep day counts and ties evidence.
- If you're non-resident in the UK, the UK generally taxes only UK-source income; you'll rely on the UK–AU treaty and foreign tax credit mechanisms where both countries can tax.

7) What to do month-by-month

Right now / as soon as possible

- Apply for a Tax File Number (TFN) if you haven't — it's free and essential.
- Tell new employers you are a WHM (417) on your TFN declaration so they withhold correctly; make sure they are registered as WHM employers.
- Enrol in Medicare under the RHCA (take passport/proof of UK residency), so you're covered for medically necessary treatment.

- Keep records that show when you became resident (lease, utility, bank, job, club memberships, etc.). If you aim to lodge as resident, this evidence matters under TR 2023/1.

Each Australian tax year (after 30 June)

- Lodge an Australian return:
 - If resident and UK national, consider lodging as a resident (and include the “WHM” and nationality info the ATO requests for NDA cases). The ATO will assess on the lower of resident vs WHM outcomes.
 - If still foreign resident for part of a year, lodge as part-year resident.
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- MLS check: if your income is near or over the threshold and you don't want hospital cover, budget for 1–1.5% surcharge.

When leaving (~Feb 2027)

- Lodge your final Australian return (part-year resident, ceased residency date).

- After you've left and your visa ceases, decide whether to claim DASP (taxed at 65% for WHM).

8) Comparison snapshot — AU vs UK (most relevant points)

- Personal allowance / tax-free amount: AU residents get a tax-free threshold (\$18,200) — you only access this if you're resident. UK has a Personal Allowance, but SRT may make you non-resident, so the allowance may not apply in that year.
- Medicare/NI: In AU, residents generally pay 2% Medicare levy (plus possible MLS). In UK you pay National Insurance based on residence/work; consider whether voluntary NI is worth keeping up. (Check HMRC guidance for your case.)
- Bank interest: As an AU foreign resident, interest paid by AU banks is usually subject to 10% withholding; if resident, it's assessed at marginal rates.
- Super vs UK pensions: AU SG at 12% from 1 July 2025 (paid by employer) vs UK workplace pension rules back home.

- Treaty relief: UK–AU treaty eliminates double taxation and includes non-discrimination (the backbone of the Addy outcome for resident WHMs).

9) Working Holiday visa (417) — UK-specific rules that matter

- Eligibility: UK passport holders are subclass 417 (not 462).
- From 1 July 2024 under the Australia-UK FTA: age 18–35 inclusive; no specified work requirement between first/second/third WHM visas; can be granted up to 3 WHM visas.
- Tax treatment while on WHM is explained above; if you become resident and are UK national, the NDA rules let the ATO assess you on the lower of resident vs WHM rates.

10) If you move from WHM to a skilled visa: visa options & tax effects

Main pathways (official Home Affairs pages):

- Skilled Independent (subclass 189) — points-tested, no nomination. Age usually under 45, skills assessment, English, occupation on list.
- Skilled Nominated (subclass 190) — state nomination, points-tested.
- Skilled Work Regional (Provisional) (subclass 491) — regional nomination/sponsorship.
- Temporary Skill Shortage (TSS) (subclass 482) — employer-sponsored; can be a stepping stone to permanent ENS 186.

Tax when you switch to a skilled visa

- The visa class doesn't decide tax residency; your facts do. On a 482/189/190/491 while living/working here long-term, you're typically resident for Australian tax (resides/183-day tests). Resident rates + Medicare levy

apply; WHM schedule no longer applies after you cease to be a WHM.

- Super: SG continues (12% from 1 July 2025). Once you're a permanent resident, you cannot claim DASP on future departures. (If you claimed DASP as a WHM before becoming PR, that's fine — but you can't DASP any new super accrued after PR.)
- Health: As a PR (or many long-stay skilled visas), you're ordinarily eligible for full Medicare (the RHCA nuance is less relevant then).

11) Red-flag warnings (things that commonly go wrong)

- Assuming the WHM 15% is your final tax. If you're a resident and UK national, you're entitled to the lower resident outcome — but you must lodge (or amend) to get it.
- Trying to vary PAYG too early. ATO will only consider a WHM NDA withholding variation if you've already been assessed as resident in one of the prior two years or you have a private ruling.

- Medicare levy surprises. Once resident, 2% levy (and possibly MLS) applies even on a WHM visa — the UK RHCA means you're entitled to Medicare, so most exemptions don't apply.
- Forgetting to track UK SRT days/ties. You can often get split-year treatment on departure — but you need records.
- DASP timing. If you plan to stay on via skilled/PR, think carefully before triggering DASP (65% tax on WHM DASP). Once you're PR, no DASP.

12) Legislation & key official sources (deep-dive)

- Australian rate law (from 1 July 2024): Treasury Laws Amendment (Cost of Living Tax Cuts) Act 2024 amends Income Tax Rates Act 1986 Schedule 7 (resident, non-resident and WHM tables).
- Rates tables (ATO): Residents & foreign-residents for 2025–26.

- WHM rate schedule in law: ITRA 1986 s 3A & Sch 7 Pt III; ATO legal database extract.
- WHM withholding: ATO WHM tax table (Schedule 15) and employer guidance.
- Residency ruling: ATO TR 2023/1; 183-day & resides-test pages.
- NDA (Addy) position: ATO “Taxation of Australian resident WHMs from NDA countries” + High Court judgment.
- Medicare levy & MLS: ATO resident rates page (levy note) + MLS thresholds.
- RHCA (UK): Services Australia — visiting from United Kingdom.
- Super: ATO Super Guarantee (SG) — 12% from 1 July 2025; DASP rules and WHM DASP tax rate.
- TFN: ATO TFN overview and application.
- UK: HMRC SRT manuals & RDR3 guidance; HM treasury/UK pages on rates/thresholds.
- UK–Australia tax treaty (full text & HMRC country page).

Quick “what should I do?” checklist (for you)

1. Keep every record that evidences residency from 2025 (lease, bills, job).
2. Enroll in Medicare via RHCA now; decide if you want hospital cover to avoid MLS if your income may exceed the threshold.
3. Verify your employers are WHM-registered and using the WHM tax table.
4. Lodge returns each year:
 - 2024–25: likely foreign-resident or part-year resident.
 - 2025–26: likely resident; as a UK national, the ATO will assess on the lower of resident vs WHM outcome.
- 5.
6. Track UK days/ties for SRT and consider split-year on leaving the UK in 2025 and returning later.
7. If aiming for skilled visas, start early with skills assessment and check occupation lists/eligibility for 189/190/491 or employer route 482→186.
8. Before you depart (~Feb 2027), choose whether to DASP (remember 65% WHM rate) and consolidate any super accounts first.

If you want, tell me roughly what you expect to earn in each Aussie year and whether you'll keep any UK income (interest/rent). I can run exact resident vs WHM comparisons for 2024–25, 2025–26, and 2026–27, and show the side-by-side outcomes with Medicare/MLS included.

Perfect — thanks for clarifying.

Let's work out your likely Australian tax outcomes on AUD 40,000 a year for the period March 2025 → February 2027, assuming no UK income.

1) Which tax years apply

- FY 2024–25 (1 Jul 2024–30 Jun 2025): you arrive Mar 2025, so only 4 months in this year. Income ~ \$13,300 (if you earned steadily at \$40k/year).
- FY 2025–26 (1 Jul 2025–30 Jun 2026): full year in Australia. Income \$40,000.
- FY 2026–27 (1 Jul 2026–30 Jun 2027): you leave ~Feb 2027, so 8 months in the year. Income ~ \$26,700.

2) Rates to compare

Resident rates (2025–26)

- 0–\$18,200 → 0%
- \$18,201–\$45,000 → 16%
- (Medicare levy 2% usually applies if resident)

WHM rates

- 0–\$45,000 → 15%
- (No tax-free threshold)

Foreign resident rates

- 0–\$135,000 → 30% (no Medicare levy)

Because you're a UK national (treaty country with a non-discrimination article), if you're resident, the ATO will assess you on the lower of resident vs WHM outcome .

3) Year-by-year estimates

FY 2024–25 (Mar–Jun 2025, ~AUD 13,300 income)

- Resident calc:
 - Taxable income 13,300 → all under tax-free threshold → \$0 tax.
 - Medicare levy: 2% of 13,300 = \$266.
 - Net tax $\approx$ \$266.
-
- WHM calc:
 - $15\% \times 13,300 = \$1,995$ tax.

- No Medicare levy.
- Net tax $\approx$ \$1,995.
-
- Foreign-resident calc:
 - $30\% \times 13,300 = \$3,990$.
 - No levy.
 - Net tax $\approx$ \$3,990.
-

👉 If you qualify as resident from arrival, the law (non-discrimination) lets you be assessed on the lower of resident vs WHM. That's \$266, a big saving.

FY 2025–26 (full year, AUD 40,000 income)

- Resident calc:
 - Tax: $(40,000 - 18,200) \times 16\% = 21,800 \times 0.16 = \$3,488$.
 - Medicare levy 2% of $40,000 = \$800$.

- Total $\approx$ \$4,288.
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- WHM calc:
 - $15\% \times 40,000 = \$6,000$.
 - No levy.
 - Total $\approx$ \$6,000.
-
- Foreign-resident calc:
 - $30\% \times 40,000 = \$12,000$.
 - No levy.
 - Total $\approx$ \$12,000.
-

👉 As a resident UK national, you should be assessed on \$4,288 not \$6,000. With WHM withholding at 15% during the year, you'd likely get a refund (~\$1,700) after lodging.

FY 2026–27 (Jul 2026–Feb 2027, ~AUD 26,700 income)

- Resident calc:
 - Tax: $(26,700 - 18,200) \times 16\% = 8,500 \times 0.16 = \$1,360$.
 - Medicare levy 2% of 26,700 = \$534.
 - Total $\approx \$1,894$.
-
- WHM calc:
 - $15\% \times 26,700 = \$4,005$.
 - No levy.
 - Total $\approx \$4,005$.
-
- Foreign-resident calc:
 - $30\% \times 26,700 = \$8,010$.
 - No levy.
 - Total $\approx \$8,010$.
-

👉 Again, as resident UK national, ATO will assess you on the lower of resident vs WHM = \$1,894. With WHM withholding 15%, you'd get another refund (~\$2,100).

4) Overall 2-year picture (Mar 2025–Feb 2027, ~AUD 80,000 total)

- If treated as resident & UK national (with NDA protection):
 $\approx \$266 + \$4,288 + \$1,894 = \$6,448$ total tax over the whole stay.
- If stuck on WHM rates the whole time:
 $\approx \$1,995 + \$6,000 + \$4,005 = \$12,000$ total tax.
- If foreign resident the whole time:
 $\approx \$3,990 + \$12,000 + \$8,010 = \$24,000$ total tax.

5) Skilled visa angle (after WHM)

If during/after your WHM you move onto a skilled visa (189, 190, 491, or 482→186), then:

- You'll be considered an Australian resident for tax if living/working here.
- That means you get the resident rates + Medicare levy.
- From that point, WHM rates no longer apply, and superannuation (12%) keeps building.
- Importantly, once you hold permanent residency, you cannot later claim DASP (the 65% super withdrawal).

6) Practical advice

- Keep residency evidence (lease, job, intent to stay) so you can lodge as resident.
- Expect WHM 15% withholding on your payslips, but be ready for refunds when you lodge.
- Check Medicare levy surcharge if your income ever exceeds \$97k — not likely here.
- Plan super: decide whether to DASP after leaving (65% tax), or keep it if aiming for PR.

Would you like me to prepare a side-by-side year-by-year comparison table (so you can show an accountant or keep for your own records), with WHM vs Resident outcomes clearly laid out?

Here’s the year-by-year comparison written out directly:

Australian Tax Comparison (Resident vs WHM vs Foreign)

Tax Year	Income (AUD)	Resident tax incl. Medicare	WHM tax (15%)	Foreign-resident tax (30%)
2024–25 (Mar–Jun)	13,300	266	1,995	3,990
2025–26 (full year)	40,000	4,288	6,000	12,000
2026–27 (Jul–Feb)	26,700	1,894	4,005	8,010
TOTAL (2 years)	80,000	6,448	12,000	24,000

Key takeaways

- Resident + UK non-discrimination article (NDA): total tax $\approx$ \$6,448.

- WHM flat rates: total tax $\approx$ \$12,000.
- Foreign resident rates: total tax $\approx$ \$24,000.

So if you can establish residency for tax purposes, being a UK national means the ATO should apply the lower resident outcome — about half the WHM amount and a quarter of the foreign-resident amount.

Do you want me to also explain what documents/evidence help prove your residency case to the ATO (lease, intent, Medicare enrolment, etc.)?